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Prologue

The provision of financial services in rural and underserved areas is the key priority of the State Bank of Pakistan viz a viz to balance the distribution of branch network amongst different segments of the country. The Branch Licensing Policy (BLP) is one of the important tools available to SBP for allowing guided expansion of the banking system keeping in view requirements of the system and also provides an insight into rationalization of the branch network. The purpose of BLP is to provide regulatory framework for the opening places of banking business with focus to augment the outreach.

The opening of new branches and shifting of existing branches of banks is governed by the provisions of Section 28 of the Banking Companies Ordinance, 1962. In terms of these provisions, banks cannot, without the prior permission in writing of the SBP, open a new place of business in any part of Pakistan or abroad or change, otherwise than within the same city, town or village, the location of the existing place of business. Section 28 (3) of the Banking Companies Ordinance lays down that before giving the permission under this section, the SBP may required to be satisfied under section 40 or otherwise regarding such aspects of the company's affairs as the State Bank may deem necessary. The opening of new branches of microfinance banks is governed under Section 8 of Microfinance Institutions Ordinance, 2001. In terms of these provisions the microfinance institution may, with the approval of the State Bank, establish branch offices at such other place, or places, in the specified area as it may think fit. Further, the Development Financial Institutions (DFIs) as notified under Section 3-A of the BCO, 1962 may open branches/sales service centers in terms of Branch Licensing Policy. As Section 28 of BCO is not applicable to DFIs therefore no formal license is issued to these institutions. However, a standardized and formal permission letter is issued. Branches in Export Processing Zones though offshore units are also considered in terms of Rule 10, 11 of Export Processing Authority Rules, 1981and provisions of BLP.

Chapter 1

Objective and Scope of Branch Licensing Policy (BLP)

1.1 Objective

The objective the BLP is to enhance the outreach of banking facilities to the population of Pakistan with specific focus on rural and underserved areas.

1.2 Scope of BLP

(a) BLP is applicable to all banks (conventional and Islamic Banks) scheduled under section, 37 of the State Bank of Pakistan Act 1956 and licensed under Banking Companies Ordinance1962 (BCO, 1962). The BLP is applicable to the following institutions as well:-

(i) Development Financial Institutions **(DFIs)** or any other institutions as notified under section 3-A of the BCO, 1962.

(ii) Microfinance Banks **(MFBs)** licensed under Microfinance Institutions Ordinance 2001. The permission for opening of new places of business to MFBs is granted under section 8 of the Microfinance Institutions Ordinance, 2001.

(b) The BLP covers opening, shifting and closure of places of banking business at all the geographical locations of Pakistan, Gilgit Baltistan (GB) and Azad Jammu & Kashmir (AJ&K).

Chapter 2

Domestic New Places of Business

2.1. Annual Branch Expansion Plan (ABEP)

(a) Banks/MFBs/DFIs (hereinafter referred to as "Licensed Institutions") desirous to open new places of business (Branches, Sub-branches, MFB booths, Sales & Service Centers, Service Centers) during a calendar year shall submit ABEP to State Bank of Pakistan (SBP) for consideration and approval, by 31st October of each preceding calendar year.

(b) The ABEP should indicate the number and types of places of business proposed to be opened including up-gradation of permanent booths into sub-branches or branches in big cities, other than big cities, rural & underserved areas and un-banked areas on prescribed format (Annexure-I). In case of MFBs, the number and type of place of business should be submitted on prescribed format (Annexure-M-1).

(c) Commercial Banks (conventional & Islamic) while applying for new branches/sub-branches under ABEP shall ensure the tier wise geographical distribution as given in Table-1.

Table-1

Tier	Description
I	Big cities
II	Other than big cities
III	Rural and Underserved Areas (RUAs)
IV	Un-banked areas

For this purpose, the following year-wise distribution against each geographical tier shall be followed for next five years. Moreover, banks opening less than twenty branches under a particular ABEP will be required to open minimum one branch in Un-banked areas i.e. Tier IV.

Table-2*

ABEP Year	Tier 1 (Big Cities)	Tier II (Other Cities)	Tier III (RUAs)	Tier IV (Un-Banked)
2017	52 %	27%	16%	5%
2018	49%	29%	17%	5%
2019	46%	31%	18%	5%
2020	43%	33%	19%	5%
2021	40%	35%	20%	5%

* The distribution is for new branches planned to be opened ever year.

(d) SBP's decision on individual licensed institution's ABEP will be conveyed to the concerned institutions generally by 31st December. ABEP will only be considered if it is submitted within due date, complete in all respect.

(e) The places of business approved in-principle under a particular ABEP shall lapse in case a formal application for issuance of license is not submitted by 30th November of the related year. Similarly, a license issued under a given ABEP shall expire where a licensed place is not opened within three months of issuance of a license or by 31st December of the respective year, which ever comes earlier.

(f) At the time of preparing ABEPs, licensed institutions should plan a strategy to rationalize their existing branch network (especially branches operating in close proximity) for provision of banking facilities to the masses.

(g) All licensed institutions as a part of their corporate social responsibility shall make arrangements at designated branches for special persons suffering from any disability. Moreover, the banks shall make necessary arrangements/processes for facilitation of banking services to deaf and dumb persons for the available & offered banking services. For the purpose banks shall publicize at which branch such services are available.

(h) In cases of newly established commercial banks / MFBs/ DFIs, merger/acquisition/restructuring of banks/ MFBs /DFIs, and in case of improvement in the financial health as reflected by the composite rating of On-site/Off-site rating by SBP, may request for opening of new place of business during the year. Such requests may be considered as a special case in terms of the BLP.

(i) MFBs shall formulate an elaborate branch opening / selection policy which, inter alia, contain the level of services to be offered, criteria for identification of the location and premises, deployment of resources, expansion, shifting, and closing of branches etc. The policy should be approved by the Board of Directors and copy of the approved policy be submitted to State Bank of Pakistan for information.

2.2. Evaluation of ABEP

(a) The individual ABEPs of licensed institutions will be evaluated keeping in view the needs of the financial system. The in-principle approvals for new places of business will be allowed on annual basis.

(b) The licensed institutions should assess the needs of the population of the area to be served by the proposed places of business at time of preparing ABEP and should submit details as required under para 2.1 (a).

(c) The licensed institutions having latest on-site and/or off-site composite ratings by SBP of at least “Fair” would be eligible to open new place of business. Moreover, for commercial banks the distribution for new branches under ABEP would be as per Table-2 above.

(d) The requests of ineligible licensed institutions may be considered on case to case basis during the year, if the same will be received with the objective of promoting Islamic banking, expansion in predominantly rural areas and places where dire need of banking facilities exists. However, SBP will take final decision on such requests after taking into account all other factors in terms of BLP.

(e) The parameters relevant to the approval or otherwise of an ABEP will include among others, adequacy of its capital structure (meeting the prevailing MCR and CAR), efforts and track record of the bank for financial inclusion and outreach (in case of MFBs opening of at least 80% branches/booths in the last ABEP), overall compliance with the applicable laws, rules, regulations etc.

(f) In case of foreign banks desirous to open new place of business, in addition to the above evaluation process, performance of their existing branches, level of commitment to the local market, sound international reputation, provision of range of banking services, new investment by their head office etc, will also form the additional basis for evaluation of their ABEPs.

2.3 Substitution/Shifting of Branches/Sub-Branches

(a) No change in ABEPs is generally acceptable during the year. However, the requests for changes / amendments in ABEPs will be considered in exceptional circumstances where licensed institutions have provided cogent and logical reasons for the changes / amendments in the ABEPs, or the institutions have shown their firmed up plans to open branches in RUAs.

(b) As mentioned in (a) above, substitution/shifting of branches/sub-branches may be allowed to places of a similar population group or Tiers as detailed in Table-3

Table-3

<table>
<tr><th>Tier*</th><th>Substitution/Shifting allowed</th><th>Substitution/Shifting not allowed</th></tr>
<tr><td>Tier I</td><td rowspan="3">Within the same Tier or downwards.</td><td>-</td></tr>
<tr><td>Tier II</td><td>Upwards</td></tr>
<tr><td>Tier III</td><td>Upwards</td></tr>
<tr><td>Tier IV</td><td>Within the same Tier</td><td>Upwards</td></tr>
</table>

*** as given in table-1**

2.4. Issuance of Licenses/Permission Letters

a) After approval of ABEPs by SBP, the licensed institutions are required to apply to SBP for license/permission to open each new branch/sub-branch, MFB Booths. The licensed institutions shall approach SBP with a formal application on relevant prescribed format (Annexure- II & II- A for banks, Annexure-M-II for MFBs and Annexure-VIII for DFIs) for issuance of licenses/permission letters.

b) The requests for opening of new places of business, among other things, should indicate the proposed safety and security measures for banking operations as well as for customers while providing various products and services at the proposed places.

c) The licensed institutions should approach for a new branch/sub-branch, MFB booth license only after finalization of exact location i.e. execution of tenancy/lease agreement for the proposed branch. In addition to the certification required under the above-mentioned Annexures, licensed institutions should also provide clearance of the AJ&K and GB Government with request for opening of a new branch/sub-branch in AJ&K and GB.

d) National Bank of Pakistan (NBP) may request for opening of chest branch (es) at a new place under ABEP and on, as and when required basis duly supported by a clearance certificate from the Accounts Department of SBP Banking Services Corporation.

2.5. Sub-branches

(a) Commercial Banks can open sub-branches, which will allow them another option for enhancing their outreach to underserved areas and population. The sub-branches will be a conduit of a branch to which it is affiliated. The functions to be undertaken at sub-branches are given at glossary section.

(b) Commercial Banks will not be allowed to downgrade any of their existing branches into sub-branches. However, they can up-grade a booth into a sub-branch & a sub-branch into a full-fledged branch only after approval under their ABEP and in terms of BLP.

(c) The up-gradation of a sub-branch into a full-fledged branch shall be subject to the condition that the intended sub-branch has been functioning for a minimum period of three years or achieved breakeven whichever comes earlier and non occurrence of serious fraud & forgery during last three years (Serious fraud as defined in BPRD Circular No. 03 of 2014). At the time of up-gradation of sub-branches into full-fledged branches under ABEP the percentage of RUA branches will be implemented on a total basis.

(d) Commercial Banks will be allowed to open sub-branches subject to criteria mentioned at section-2.2 above, centralization of processing of all the transactions at sub-branches to a controlling branch, existence of appropriate systems & controls and adequate security arrangements.

(e) The commercial banks will ensure compliance with all the laws, rules regulations and SBP instructions issued from time to time, which may affect the existence/ operations of the sub-branch.

(f) A signboard stating the name of the bank at sub-branch also state under the commercial bank's name in clear bold words that "This is a sub-branch/limited function branch of………Bank" in English as well as in Urdu.

2.6. Sales & Service Centers (Banks)/Service Centers (MFBs)

(a) Licensed institutions shall preferably request to SBP for opening of Sales and Service Centers (SSCs)/Services Centers (SCs) at the time of submission of ABEP. However, keeping in view the convenience of the customers, individual requests may also be considered during the year on case to case basis. The functions to be performed at SSCs/SCs are given at glossary section.

(b) The opening of SSCs/SCs will be subject to the following conditions:

i. A signboard stating the name of the commercial Bank/MFB at Sales & Service Centre/Service Center should also state under the commercial bank's/MFB's name in clear bold words that "This is not a branch of ……..commercial Bank/MFB" in English as well as in Urdu. Moreover, the SSCs will also display the name of the controlling branch along with names of contact persons and their contact numbers on notice board or any prominent place in the branch.

ii. Comply with all the laws, rules regulations and SBP instructions issued from time to time, which may affect the existence/ operations of the SSCs/SCs.

iii. SSC/SCs should be linked with a specified bank branch/ central monitoring unit/Regional office/concerned department at Head Office.

iv. The SCs shall not offer savings/deposit mobilization services and will not maintain overnight record or cash.

v. The record shall be maintained at the licensed branch within a radius of 50 Km under which the SC would operate.

vi. Once the SC achieves a certain level of outreach, MFB may convert it into MFB Booth/full-fledged branch after seeking written approval of SBP preferably under ABEP.

2.7. Opening of Booths

2.7.1.Permanent Booths

(a) Licenses will be issued to the commercial banks for opening of permanent booth(s) on case to case basis during the year. Commercial banks will be required to apply to SBP for permission to open permanent booths on prescribed format (Annexure- II & II-A) along with specific recommendation of the concerned institution/department. The permanent booths can be opened within the premises of educational institutions, large corporations, factories, Embassies, Consulates, Foreign Missions, Hospitals, Government Departments and other institutions. The functions to be performed at permanent booths are given at glossary section.

(b) All the transactions at the permanent booth will be centralized at some bank branch.

(c) The commercial banks will ensure compliance with all the laws, rules, regulations and SBP instructions issued from time to time, which may affect the existence/ operations of the permanent booth.

2.7.2.Temporary Booths

(a) Temporary booths can be opened without prior permission of SBP under section 28(2) of BCO, 1962, for a period not exceeding one month.

(b) Temporary booths planned to be opened for more than a month but not exceeding '3' months will require prior written approval of SBP. Any booth planned for more than '3' months will be considered under policy for "permanent booth".

(c) Temporary booths will be opened subject to the condition that branches of the same commercial bank are not functioning at any of the proposed places/centers.

(d) The date of opening/closing of temporary booths should be intimated to SBP within seven days from the date of opening/closing of these booths on the prescribed format (Annexure- IV)

2.7.3. MFB Booths

(a) MFBs may be granted license to open permanent booth(s) for deposit taking/withdrawal, issuance of DD/TT/ MT/ Pay Order etc, receiving of utility bills, disbursement & recovery of micro loans.

(b) MFBs will be required to apply to SBP for opening of permanent booths approved under ABEP on the prescribed format (Annexure- M-II). However, account opening & issuance of account number and other formalities including Know Your Customer (KYC) and Customer Due Diligence (CDD) shall be performed by the controlling branch (not by the permanent booth).